

the Income Tax Act allows certain investments and expenditure to be deducted from total income up to a maximum of 1.5 lacs per annum.

#### **34. Exchange Traded Funds**

An investment fund traded on stock exchanges, much like stocks. An ETF holds assets such as stocks, commodities or bonds, and trades close to its net asset value over the course of the trading day. By owning an ETF, you get the diversification of an index fund as well as the ability to sell short, buy on margin and purchase as little as one share.

#### **35. Bullion Market**

Bullion is defined as a bulk quantity of precious metals consisting of gold, silver and other metals that can be assessed by weight and cast as a lump. Bullion is valued by its purity and mass rather than its face value which is applicable in the case of money. The bullion reserve of a country is the indicator of the amount of wealth a country possesses.

#### **36. Dematerialized**

Dematerialized or "Demat" means to "deprive of" or lose the physical substance or make or become immaterial. In our context, dematerialization is a process in which you can convert physical share certificates into electronic shares.

#### **37. Earnings Per Share (EPS)**

The amount of earnings per each outstanding share of a company's stock.

#### **38. Dividend Payout Ratio**

The fraction of net income a firm pays to its stockholders in dividends. The part of the earnings not paid to investors is left for investment to provide for future earnings growth.

#### **39. Profit After Tax (PAT)**

The net profit earned by the company after deducting all expenses like interest, depreciation and tax. PAT can be fully retained by a